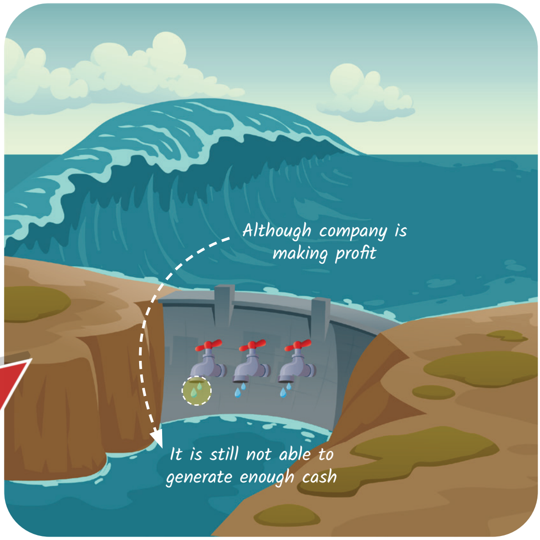
CGFO = Cash Flow From Operations (CFO) = PBT [PAT + Taxes] + Non Cash and Non-Operating Items + Total Working Capital Changes [Operating + Financing]

EBITDA and CFO are closest to each other when linking Income Statements and Cash Flow as their composition are similar. **A Company might report a lot of profits but might not make enough cash. This can be due to lot of reasons like - High Non-cash and non-operating items, capital stuck in Accounts Receivables and Inventory etc.**



The fundamental idea to understand is that a company generating good and healthy EBITDA must translate to healthy CFO without fail.